

Answers

If you got mostly As

You're more likely to be a conservative investor. You'll take on some risk, but the idea of anything more than pretty minimal risk levels will have you running for the hills. You're slightly anxious about losing money in the stock market and you'd like to take baby steps.

If you got mostly Bs

You're a balanced investor, with the best of both worlds. You know you need to take some risk, but you're not willing to put it all into stocks. You don't mind missing out on some gains for the ability to sleep peacefully at night.

If you got mostly Cs

You're a growth investor. You have time on your side and you're not afraid of a bit of rough and tumble for greater returns. When the market dips you see it as extra buying opportunities on top of your dollar cost averaging.

If you got mostly Cs but you feel like you'd take on as much risk as possible with zero regret, you may fall into an aggressive portfolio.

Step #5: Work out your asset allocation

Based on your risk profile as a conservative, balanced or growth investor in training, you can now design your investing portfolio allocations. This is called asset allocation and is quite an empowering step to growing your investment profile. You're basically deciding how much money you want to put towards different investments. See [table 12.1](#).